8. Income Taxes

The provision for income taxes consists of the following (in thousands):

	2004	2005	2006
Current provision:			
Federal	$ —	$ 91	$ 1,475
State	20	116	268
	20	207	1,743
Deferred provision:			
Federal	1,029	2,310	2,403
State	91	98	141
	1,120	2,408	2,544
	$ 1,140	$ 2,615	$ 4,287

The income tax effects of temporary differences that give rise to significant portions of deferred income tax assets and (liabilities) are as follows (in thousands):

	2004	2005	2006
Deferred income tax assets:			
Net operating loss	$ 2,669	$ 984	$ —
Alternative minimum tax credit	—	91	99
Other	7	60	242
Total deferred income tax assets	2,676	1,135	341
Deferred income tax liabilities:			
Property and equipment	(5,483)	(6,736)	(8,571)
Goodwill and other intangible assets	(142)	(1,575)	(1,508)
Other	(9)	(71)	(26)
Total deferred income tax liabilities	(5,634)	(8,382)	(10,105)
Net deferred income tax liabilities	$(2,958)	$(7,247)	$ (9,764)

The effective tax rate differs from the statutory rate as follows:

	2004	2005	2006
Statutory rate	34%	34%	34%
State and local taxes	3%	3%	3%
Nontaxable life insurance proceeds	(12)%	—	—
Other	—	—	(1)%
Effective rate	25%	37%	36%